

The Secret Behind Tariffs

Imagine a politician standing in front of a typical American factory, declaring that he will “put tariffs on foreign competitors to strengthen the economy of our nation.” At first, this idea sounds appealing; who wouldn’t want to support assembly-line workers and protect their jobs from foreign rivals? Personally, I would also prefer to purchase products made in my own country. It feels reassuring to see everyday goods stamped with my nation’s name. Plus, if foreign companies are “dumping” cheap products into our markets, why not simply tax them until the playing field is level? It appears to be a simple solution to a complex global economy. We see the factory workers keeping their shifts and assume we have won the entire battle.

However, as John Stossel frequently points out, what we “see” is only half the story. Behind the scenes, we overlook the millions of American consumers who are quietly harmed by these seemingly “beneficial” tariffs. This is why many politicians omit a crucial fact: tariffs are not taxes on foreign nations; they are taxes on Americans themselves.

When the government imposes a tariff on imported goods, foreign companies do not simply write a check to the U.S. Treasury and move on. Instead, American firms that import these goods, the retail stores where consumers shop, and the manufacturers who purchase raw materials are the ones burdened with the increased costs. To remain in business, they must ultimately pass these additional expenses on to the final party in the chain: the consumer.

This process triggers a pronounced domino effect. For instance, if tariffs are placed on steel to preserve a single mill, every American consumer who purchases steel, as well as every firm that depends on steel as an input, is forced to shoulder the financial cost of preserving that one mill. We may save one job at the steel mill, but risk losing three more in industries that can no longer afford to operate. As John Stossel reported in his 2024 article “Tariffs Hurt More Than Help,” data from the Tax Foundation show that trade barriers cost the average American household around \$625 a year ([“Tariffs Hurt”](#)). This money lost to tariffs could have been saved or used to buy something useful for the household, such as a new laptop or a first car.

The damage does not stop at bank accounts. As noted earlier, when we artificially promote one industry, we often drag others down in the process. John Stossel highlights this in his 2025 report “Tariff Folly,” noting a stark disparity: while steel tariffs helped create about 1,000 jobs in American mills, the resulting higher costs for manufacturers led to the loss of approximately 75,000 jobs in other sectors ([“Tariff Folly”](#)). For every worker who celebrates a saved job, 75 others lose theirs behind the scenes.

This is an example of what economists call the “Broken Windows Fallacy.” We think we are gaining wealth by supporting one industry, but behind the scenes, many others are quietly being weakened or destroyed. According to the Peterson Institute for International Economics, the cost to Americans for the steel jobs that were “saved” was a staggering \$900,000 per year ([Hufbauer and Jung](#)). With tariffs, we aren’t truly supporting jobs; instead, we are driving up prices in ways that can bankrupt neighbouring American companies.

As I look toward my future, these “hidden” costs feel very personal. In a few years, I, too, will be in the workforce, directly affected by tariffs, and every dollar siphoned away by trade barriers is a dollar I cannot use to build my own life. When we hear how much money is being pickpocketed from Americans, it is not just an abstract figure; it represents money that could have covered the first few months of car insurance or a significant portion of a laptop for college.

Beyond the immediate hit of financial struggles, there is also an issue of individual liberty. Like most people, I want to live a life where I am free to trade with whoever offers the best value, regardless of which side of a border they inhabit. When the government says it is protecting Americans from foreign competitors, it is not actually protecting them; instead, it is limiting their choices to pay for someone’s inefficiency. I believe that true economic strength does not come from building brick walls; it comes from the freedom to innovate, compete, and cooperate on a global scale.

It is easy for a politician to stand in front of a factory and promise that a new tax on “them” will help “us.” But after looking at the data from various studies and hearing the stories of the thousands of 'unseen' workers who lose their jobs for every one job saved, the promise falls apart ([Hufbauer and Jung](#)).

Ultimately, the 'truth' about tariffs is that they don’t just tax our wallets; they tax our ability to specialize. As John Stossel points out, America is better when we focus on the high-tech, high-skill industries where we lead the world, rather than trying to force ourselves to do everything at a higher cost (Stossel, “Both Sides”). When we trade freely for avocados or iPhones, we aren't “losing”; instead, we are freeing up American workers to build the next generation of software, medicine, and space technology. Politicians call this a 'trade deficit,' but as Stossel famously notes, “So what? I run a trade deficit with my supermarket. I give them money. They never give me money. That’s fine. It’s freedom. The economy sorts it out,” (“Debunking the Many Myths”). Trade isn't a war; it’s the freedom to cooperate. If we want a future defined by growth instead of stagnation, we need to stop 'protecting' our way into higher prices. It's time to choose the freedom of the marketplace over the empty promises of the American factories.